



Australian
Competition &
Consumer
Commission

Statement of Issues

15 October 2015

Brookfield consortium – proposed acquisition of Asciano Limited

Purpose

1. This Statement of Issues aims to:
 - give the preliminary views of the Australian Competition and Consumer Commission (**ACCC**) on competition issues arising from the proposed acquisition of Asciano Limited (**Asciano**) by a consortium assembled by Brookfield Asset Management Inc., which includes Brookfield Infrastructure Partners L.P. (**Brookfield**) (the **proposed acquisition**)
 - identify areas of further inquiry
 - give all interested parties an opportunity to comment
 - invite interested parties to submit information to assist us in our assessment of the issues.

Overview of ACCC's preliminary views

2. The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010* (the **Act**). Section 50 prohibits acquisitions that substantially lessen competition in a market, or are likely to do so.
3. The ACCC has received a large number of submissions expressing significant concerns about the impact that the proposed acquisition will have on market structures in Western Australia and Queensland as a result of the vertical integration that will arise between Brookfield and Asciano. Many interested parties are concerned that the proposed acquisition is likely to lead to a substantial lessening of competition.
4. In a Statement of Issues, the ACCC divides its preliminary views into three categories, 'issues of concern', 'issues that may raise concerns' and 'issues unlikely to raise concerns'. The proposed acquisition raises a number of issues of concern and further detail is set out below.

Issues of concern

5. The ACCC is concerned that the vertical integration of Brookfield's Brookfield Rail network with Asciano's Pacific National above rail business would lead to a

substantial lessening of competition in the relevant markets in which above rail service providers compete to haul general freight, bulk grain and bulk ore and minerals using the Brookfield Rail network. This is based on the ACCC's preliminary view that, post-acquisition, Brookfield would have the ability and incentive to foreclose Pacific National's above rail competitors that use Brookfield Rail and will have access to sensitive commercial information of those competitors.

6. The ACCC is concerned that the vertical integration of Brookfield's Dalrymple Bay Coal Terminal (**DBCT**) with Asciano's Pacific National above rail business would lead to a substantial lessening of competition in the relevant markets in which above rail service providers compete to haul coal to DBCT. This is based on the ACCC's preliminary view that, post-acquisition, Brookfield would have the ability and incentive to foreclose competitors of Pacific National that haul coal to DBCT and will have access to sensitive commercial information of those competitors.
7. The ACCC notes that access regimes and related operational arrangements have been established that cover Brookfield Rail's network and DBCT. These arrangements apply to environments in WA and Queensland where vertical integration is not currently a feature of the market. The ACCC has received strong feedback from market participants that the current access regimes and operational arrangements would be incapable of dealing with all of the vertical integration concerns arising from the proposed acquisition. In this regard, the ACCC notes the following:
 - a. There is significant difficulty in anticipating all possible foreclosure strategies that a vertically integrated entity may pursue, particularly in complex, technical industries, and there are substantial challenges and costs involved in detecting some forms of foreclosure behaviour, particularly in the day-to-day operation of infrastructure. This means that an access regime is a second-best solution for competition concerns that arise from vertical integration of critical infrastructure where users have no (or only limited) viable alternatives available. Where the infrastructure is of a technical nature and requires many operational decisions to be made on a daily and long-term basis, and it is vertically integrated with one of a very limited number of users of the infrastructure, an access regime may not be capable of averting a substantial lessening of competition that would otherwise arise.
 - b. The ACCC's strong view is that the only way to avoid the risks to competition that are likely to be created by vertical integration is to avoid the creation of a vertically integrated market structure altogether. Access regulation has an important role in certain circumstances of market failure in the economy (such as the existence of a natural monopoly), however it is preferable to avoid structural changes to the market that would exacerbate such market failures.
 - c. The access regimes and related regulatory arrangements that apply to Brookfield Rail's network and DBCT, and the operational arrangements that apply to DBCT, are subject to future change that the ACCC cannot take account of at the time of this review. As set out in paragraph 7.70 of the ACCC's Merger Guidelines, while the ACCC takes into account government regulation relevant to its competition assessments, as a general principle the ACCC does not regard speculation about future alterations to the regulatory environment, or the mere ability of government to regulate, as an effective competitive constraint.

8. The ACCC recognises that access regimes may be modified to enhance protections against competition issues arising from vertical integration. However, for the reasons set out above, the ACCC considers that where an owner or long-term lessee of significant infrastructure is likely to have a relatively unconstrained ability to discriminate between access seekers (absent regulation), the competition issues that would arise from vertical integration of that infrastructure are better dealt with by maintaining a non-vertically integrated market structure.

Making a submission

9. The ACCC is seeking submissions from interested parties, particularly on the following key issues:
- Brookfield Rail – Whether, and if so how, Brookfield would be able to engage in conduct to the detriment of Pacific National's competitors in above rail services using Brookfield Rail's network
 - Brookfield Rail – The extent to which the access regime and related regulatory arrangements mitigate the competition concerns that arise from vertical integration of Brookfield Rail's network with Pacific National
 - DBCT – Whether, and if so how, Brookfield would be able to engage in conduct to the detriment of Pacific National's competitors in above rail services that deliver coal to DBCT
 - DBCT – The extent to which the access regime and related regulatory arrangements mitigate the competition concerns that arise from vertical integration of DBCT with Pacific National
10. Detailed discussion of these and other issues, along with specific questions, is contained in this Statement of Issues.
11. Interested parties should provide submissions by no later than 5pm on **4 November 2015**. Responses may be emailed to mergers@acc.gov.au with the title: Submission re: Brookfield consortium proposed acquisition of Asciano Limited - attention Stewart McKechnie. If you would like to discuss the matter with ACCC officers over the telephone or in person, or have any questions about this Statement of Issues, please contact Stewart McKechnie on (03) 9290 1947.
12. The ACCC anticipates making a final decision on **17 December 2015**, however, this timeline can change. To keep abreast of possible changes in relation to timing and to find relevant documents, interested parties should visit the Mergers Register on the ACCC's website at www.accc.gov.au/mergersregister.

Confidentiality of submissions

13. The ACCC will not publish submissions regarding the proposed acquisition. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the *Competition and Consumer Act 2010*. Where the ACCC is required to disclose confidential information, the ACCC will notify you in advance where possible so that you may have an opportunity to be heard. Therefore, if the information provided to the ACCC is of a confidential nature, please indicate as such. Our [Informal Merger Review Process Guidelines](#) contain more information.

About ACCC 'Statements of Issues'

14. A Statement of Issues published by the ACCC is not a final decision about a proposed acquisition, but provides the ACCC's preliminary views, drawing attention to particular issues of varying degrees of competition concern, as well as identifying the lines of further inquiry that the ACCC wishes to undertake.
15. A Statement of Issues provides an opportunity for all interested parties (including customers, competitors, shareholders and other stakeholders) to ascertain and consider the primary issues identified by the ACCC. It is also intended to provide the merger parties and other interested parties with the basis for making further submissions should they consider it necessary.

Timeline

Date	Event
6 August 2015	ACCC commenced review of the proposed acquisition
15 October 2015	ACCC publication of Statement of Issues
4 November 2015	Closing date for submissions relating to Statement of Issues
17 December 2015	Proposed date for announcement of ACCC's final decision

The parties

Brookfield

16. Brookfield is a global asset manager with interests in property, renewable power and infrastructure assets. Brookfield has approximately \$200 billion of assets under management. Brookfield is listed on the New York Stock Exchange and the Toronto Stock Exchange.
17. Brookfield's principal Australian businesses are:
 - a. Brookfield Rail in Western Australia; and
 - b. DBCT in Queensland.

Asciano

18. Asciano Limited is an Australian freight logistics company, operating in railway freight and ports, and is listed on the Australian Securities Exchange.
19. Asciano has three primary businesses:
 - a. Pacific National which provides above rail haulage services across the coal, intermodal and bulk sectors;

- b. Patrick Terminals and Logistics which is a national container terminal operator and provider of stevedoring services to major shipping lines at ports in Sydney, Melbourne, Brisbane and Perth, combined with an integrated landside logistics network;
 - c. Patrick Bulk & Automotive Port Services which is a provider of bulk port and automotive processing services across over 40 sites in Australia and New Zealand.
20. Pacific National provides a range of rail haulage services including bulk rail haulage of coal, grain, minerals, concentrate and construction materials.

The proposed acquisition

- 21. A consortium assembled by Brookfield Asset Management Inc. that includes Brookfield Infrastructure Partners L.P. proposes to acquire 100% of the shares in Asciano.
- 22. The ACCC is not aware of any areas where Brookfield and Asciano supply goods or services in competition with each other. However, the proposed acquisition would result in vertical integration between Brookfield Rail and Pacific National in WA, and between DBCT and Pacific National in Queensland.
- 23. In WA, Pacific National operates above rail haulage services on Brookfield Rail's network. In Queensland, Pacific National delivers coal to DBCT and Brookfield is the long term leaseholder of DBCT.
- 24. This Statement of Issues therefore focuses on these areas of vertical interaction.

Industry background relevant to Brookfield Rail

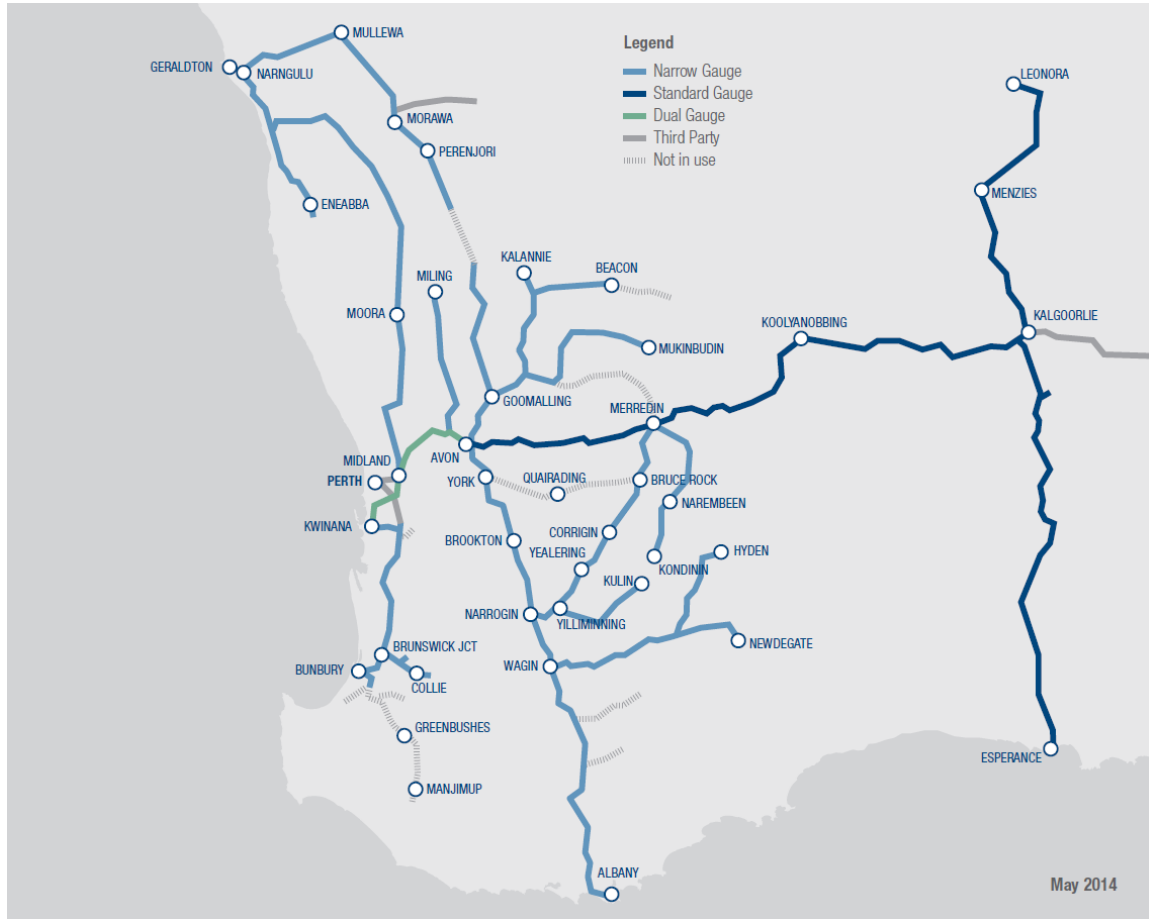
Brookfield Rail

- 25. Brookfield Rail is a below rail access provider which operates over 5,100km of track and related infrastructure in the southwest region of Western Australia under a long term lease with the WA Government. There are approximately 35 years remaining on this lease.
- 26. Brookfield Rail is responsible for access management, signalling and communication systems, train control, rail construction and maintenance on the network.
- 27. Brookfield Rail's network is the only freight rail network that provides rail access to the region's five government-owned import and export ports (Geraldton in the north, Fremantle (Kwinana) and Bunbury in the west, and Esperance and Albany in the south of WA) for minerals, grain and interstate intermodal traffic.
- 28. Brookfield Rail's network does not include:
 - a. Pilbara railway lines owned and managed by privately listed companies including BHP Billiton, Rio Tinto and Fortescue Metals Group;
 - b. The urban component of the former West Australian Government Railways (WAGR)/WestRail network, which is under the control of the Public Transport Authority of Western Australia for the provision of urban passenger services;

- c. The interstate standard gauge line from Kalgoorlie to Adelaide, which is owned by the Australian Rail Track Corporation (**ARTC**).

29. **Figure 1** contains a map of Brookfield Rail's network.

Figure 1 – Brookfield Rail's network



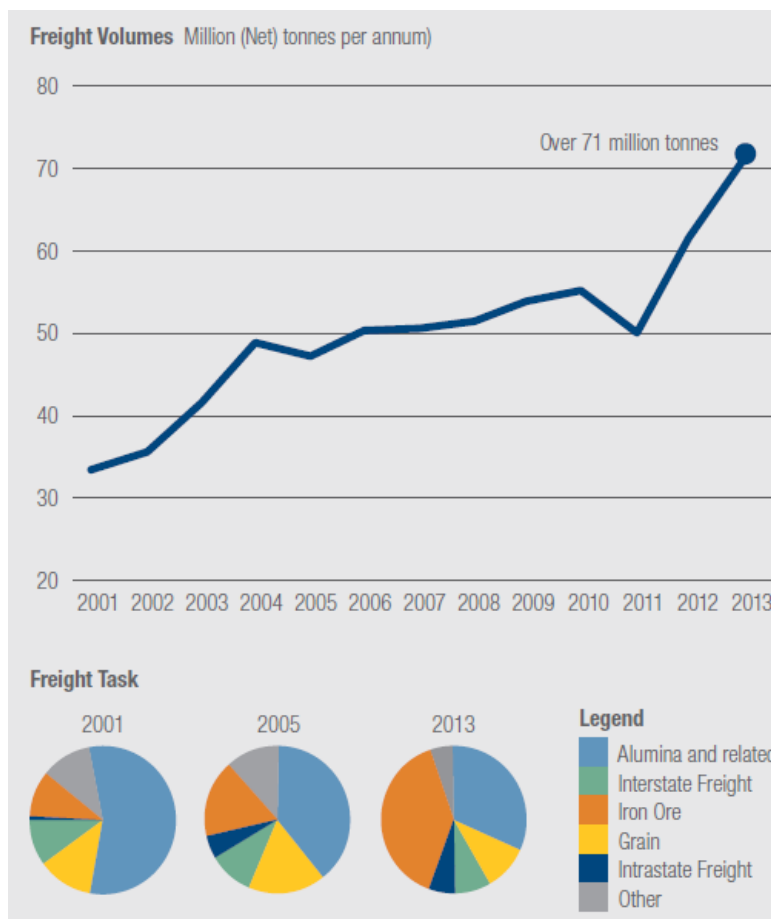
Source: Brookfield Rail, 'Company Overview (Fact Sheet)', May 2014.

Rail users

30. The Brookfield Rail network provides rail links for a range of customers and commodities such as:
 - a. miners located throughout WA producing diverse products such as iron ore, alumina, bauxite, coal and nickel (including the iron ore mines in the Eastern Goldfields region);
 - b. the WA grain belt farmers; and
 - c. industrial facilities located around Perth and throughout the coverage area of the Brookfield Rail network.
31. The network also connects WA with Australia's central and eastern states (along the East-West Corridor), carrying an estimated 70-80% of all freight that moves between the east and west of Australia. An estimated 15-25% is carried by sea, and the remainder by road. Brookfield Rail's network is connected to those states by the ARTC's rail line from Kalgoorlie to Crystal Brook and onwards.
32. Brookfield Rail's customers fall into two broad categories:

- a. above rail operators who directly hold access rights on the Brookfield Rail network and utilise those rights to haul product for an end user (their customer); and
 - b. end users who wish to haul product and who have a separate agreement with an above rail operator whose role is to transport the product.
33. Four above rail operators currently provide services on the Brookfield Rail network: Aurizon, Pacific National (owned by Asciano), SCT Logistics, and Watco Companies LLC (**Watco**) (using locomotives and wagons owned by CBH).
34. Watco only provides haulage services for the bulk grain task within WA. Aurizon, Pacific National and SCT Logistics provide non-bulk haulage services along the east west corridor. Aurizon and Pacific National also provide bulk haulage services within WA.
35. The relative proportions of the freight task along with the annual freight volumes shipped by Brookfield between 2001 and 2013 are below at **Figure 2**.

Figure 2 – Brookfield Rail's freight volumes and task proportions, 2001-13



Source: Brookfield Rail 'About Us' Fact Sheet, 19 January 2015, accessible at http://www.brookfielddrail.com/assets/br_files/Communications%20Material/140530%20BR%20Corporate%20Fact%20Sheet%20FINAL.pdf

36. Grain freight is a particularly important product that is shipped across the network, with approximately 2,400km of Brookfield's 5,500km long network dedicated solely to the transportation of grain.¹

Brookfield Rail access regime

37. Brookfield Rail is subject to an access regime (the **WA Access Regime**) established by the *Railways (Access) Act 1998* (WA) (**Railways Access Act**) and the Railways (Access) Code 2000 (**Code**), which was established under this Act and administered by the Economic Regulation Authority (**ERA**).
38. The WA Access Regime broadly establishes a framework within which parties can negotiate access for regulated railway infrastructure. An entity wishing to seek access to this infrastructure under the Code must submit a proposal for access under Part 2 of the Code. Once this is made, the railway owner must negotiate in good faith with the entity with a view to the railway owner and the entity making an access agreement in respect of the route. If agreement cannot be reached, Part 3 Division 3 of the Code sets out a mechanism for the arbitration of disputes.
39. Alternatively, parties have an option to negotiate access agreements outside the Code. However, such negotiations are not subsequently protected by the Code unless otherwise agreed between the parties. All agreements negotiated or arbitrated under the Code are subject to several policy statement documents approved by the ERA, which is responsible for administering the WA Access Regime.
40. To date, there have been no access agreements reached under the Code.
41. The WA Access Regime was certified by the relevant Minister for a period of 5 years as an effective access regime under section 44N of the Act on 11 February 2011. The ACCC notes that this decision was made against the recommendation of the National Competition Council (**NCC**). While the certification is in force, railways that are subject to the WA Access Regime cannot be declared under Part IIIA of the Act.
42. The Code is currently undergoing a scheduled review by the ERA under the terms of the Railways Access Act. A Draft Report was released by the ERA on 23 September 2015, with a final report to be provided to the WA Treasurer by the end of 2015. Further details about this review follow later in this document.

Industry background relevant to Dalrymple Bay Coal Terminal

Dalrymple Bay Coal Terminal

43. DBCT is located at the Port of Hay Point, 38 kilometres south of Mackay in Central Queensland.
44. DBCT is a common-user coal export terminal providing services to a large number of mining customers along the Goonyella coal supply chain within the Bowen Basin². It was established in 1983 by the Queensland Government.

¹ Brookfield Rail, 'Grain Freight Rail Network Fact Sheet', 26 February 2015, accessible at http://www.brookfieldrail.com/assets/br_files/Communications%20Material/2014-08-25_BR_Grain%20Rail%20Fact%20Sheet.pdf

45. DBCT is one of the world's largest export terminals with a nameplate capacity of 85 mtpa. DBCT exports account for approximately 20% of global seaborne metallurgical coal exports and 7% of total global seaborne coal exports.
46. DBCT is owned by the Queensland Government but leased to DBCT Management Pty Ltd (**DBCTM**) for 50 years commencing in 2001 (with an option for a further 49 years) under a Port Services Agreement with DBCT Holdings and North Queensland Bulk Ports (both wholly owned by the State of Queensland).
47. Brookfield Infrastructure owns DBCTM.
48. DBCT is operated by Dalrymple Bay Coal Terminal Pty Ltd (**DBCT PL**), a company owned by a selection of coal mining companies that are users of the terminal. DBCT PL operates the terminal under an Operation and Maintenance Contract (**OMC**) with DBCTM.
49. Under the OMC, DBCT PL is responsible for the day to day operations and maintenance of DBCT and, subject to the approval of DBCTM, also responsible for long term asset management and maintenance planning including budgeting and operating plans.
50. The OMC requires both DBCTM and DBCT PL to comply with Terminal Regulations which provide detailed requirements for the day-to-day operation of DBCT.³

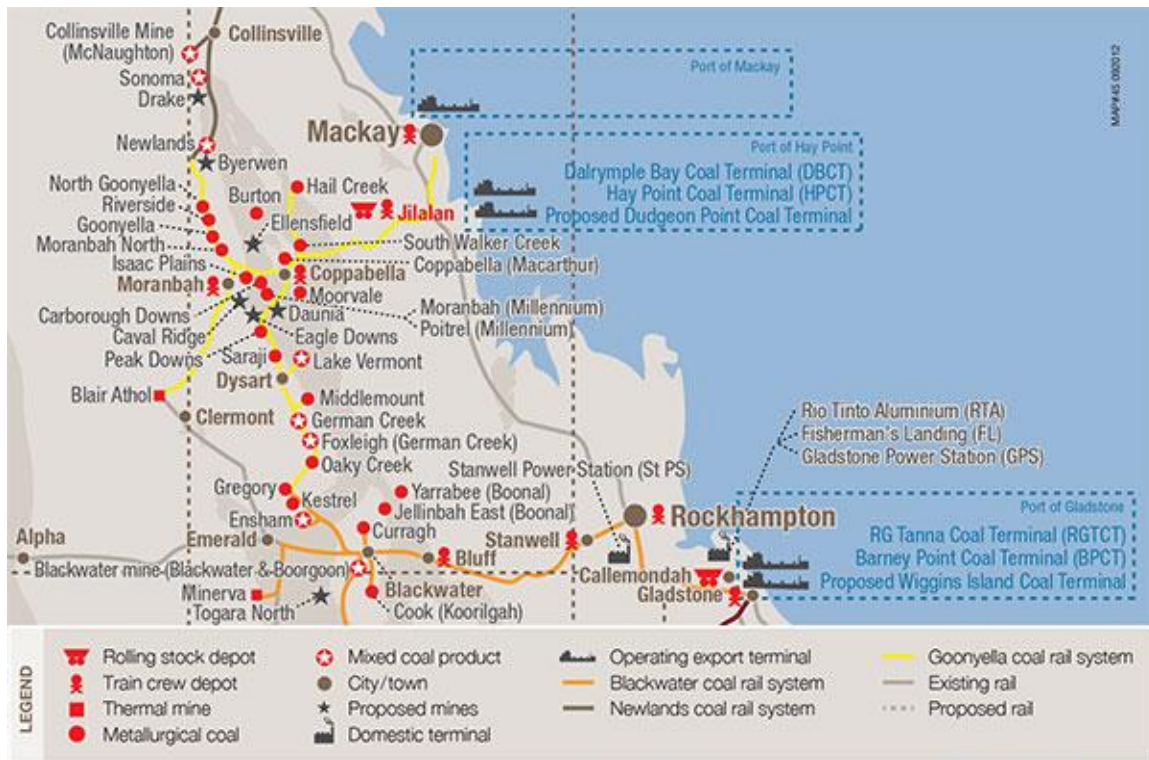
The Goonyella coal supply chain and users of DBCT

51. DBCT is part of the Goonyella coal supply chain.
52. The Goonyella coal rail system services 30 mines in the Bowen Basin coal region in Central Queensland. It carries coal primarily to DBCT and the Hay Point Coal Terminal (**HPCT**).
53. HPCT is a single-user terminal owned and operated by BHP Billiton Mitsubishi Alliance. The Goonyella coal rail system is linked to other rail systems that connect to the Port of Gladstone (400km south of DBCT) and the Port of Abbot Point (200km north of DBCT).
54. In 2014, North Queensland Bulk Ports announced it was not continuing with plans to develop the proposed new Dudgeon Point Coal Terminal at the Port of Hay Point.
55. A map of the Goonyella coal supply chain is below at **Figure 3**.

² A list of mines that utilise DBCT with a map showing the locations is accessible at <http://www.dbctm.com.au/coalchain/maps.aspx>

³ The 2010 access undertaking (described at paragraph 68 below) also requires that DBCTM and DBCT PL comply with the Terminal Regulations. The Terminal Regulations are accessible at <http://www.dbctm.com.au/aboutdbct/documents.aspx>

Figure 3 – Map of the Goonyella coal supply chain



Source: <http://www.aurizon.com.au/network/central-queensland-coal-network/goonyella-system>

56. The mines serviced by the Goonyella coal supply chain are owned and operated by the coal producers including Anglo American, BHP Billiton, Rio Tinto, Glencore, Peabody and Vale.
57. Coal is extracted from mines by coal producers and then loaded onto coal trains. Once the coal is loaded, the train begins the journey towards an export terminal.
58. The Goonyella coal rail system is one of four major rail systems constituting the Central Queensland Coal Network (**CQCN**), which is made up of over 2670km of heavy haul rail infrastructure.
59. The CQCN below rail infrastructure is owned and operated by Aurizon Network (formerly QR National Network) and is subject to an access regime approved by the Queensland Competition Authority (**QCA**).
60. Coal is transported to DBCT by two competing above rail operators, Aurizon Rail (formerly QR National) and Pacific National, using the Goonyella coal rail system.
61. Generally, orders for train paths are submitted to Aurizon Network by above rail operators on behalf of coal producers. Aurizon Network is responsible for the scheduling of train paths.
62. Typically, the mining companies that use DBCT contract with above-rail operators and enter into access agreements with Aurizon Network for below rail access.
63. Coal is delivered to an export terminal by the rail haulage operator and is unloaded as the trains pass through one of three rail receival stations. The coal is then transported via a large network of conveyors to either the stockyard for storage or straight to the wharf to be loaded on a shipping vessel.

64. DBCTM has long term user agreements with major mining companies producing both metallurgical and thermal coal from the Bowen Basin coalfields.
65. In 2007, Integrated Logistics Company (**ILC**) was established to identify improvement initiatives in the Goonyella coal supply chain. Membership of the ILC consists of the terminal owner, terminal operator, port authority, network operator, above rail operators and coal producers that use DBCT.

DBCT access regime

66. DBCT is declared for third party access under the *Queensland Competition Authority Act 1997* (Qld) (**QCA Act**) with terms and conditions of access regulated by a QCA approved access undertaking.
67. The DBCT Access Regime is comprised of:
 - a. The QCA Act;
 - b. The access undertaking prepared by DBCTM, accepted by the QCA on 23 September 2010 and effective from 1 January 2011 to 30 June 2016 (the **2010 access undertaking**); and
 - c. The port safety regime established under the *Transport Infrastructure Act 1994* (Qld) and the *Transport Operations (Marine Safety) Act 1994* (Qld).
68. The 2010 access undertaking sets out terms and conditions for obtaining access to terminal services and a process for capacity expansion at DBCT.
69. The 2010 access undertaking is due to expire on 30 June 2016. On 23 June 2015, the QCA issued an initial undertaking notice under section 133 of the QCA Act requiring DBCTM to submit a draft access undertaking by 21 September 2015 (this time period was subsequently extended to 19 October 2015).
70. On 9 October 2015, the QCA received a draft amending access undertaking from DBCTM (to amend the 2010 access undertaking) asking the QCA to consider the addition of ring fencing provisions. The QCA is seeking submissions by 30 October 2015.
71. On 12 October 2015, the QCA received a draft access undertaking from DBCTM (to apply following expiry of the 2010 access undertaking) and is seeking submissions by 24 November 2015.

Future with and without the acquisition

72. Section 50 of the Act prohibits mergers or acquisitions that would have the effect or be likely to have the effect of substantially lessening competition in a market.
73. In assessing a proposed acquisition pursuant to section 50 of the Act, the ACCC considers the effects of the acquisition by comparing the likely future competitive environment post-acquisition if the acquisition proceeds (the “with” position) to the likely future competitive environment if the acquisition does not proceed (the “without” position) to determine whether the proposed acquisition is likely to substantially lessen competition in any relevant market.
74. On the basis of the information currently available, the ACCC considers that the status quo would apply. This means that Asciano would be likely to remain under independent ownership to Brookfield absent the proposed acquisition.

Market definition

75. Since the proposed acquisition would result in vertical integration between Brookfield Rail and Pacific National in WA and between DBCT and Pacific National in Queensland, it is necessary to consider the relevant markets at the upstream and downstream levels.
76. In framing the relevant upstream and downstream markets, the ACCC considers what other products constitute sufficiently close substitutes to provide a significant source of constraint on the merged entity at each level of the supply chain.

Preliminary view on relevant market(s)

77. Based on information received by the ACCC to date, the ACCC's preliminary view is that the markets relevant for assessing the competition effects of the acquisition are:
 - a. the supply of below rail access to Brookfield Rail's network
 - b. the supply of freight haulage services between WA and Australia's central and eastern states
 - c. the supply of intrastate haulage services for bulk freight within WA (grain and minerals)
 - d. the supply of coal handling services at DBCT
 - e. the supply of above rail haulage services on the Goonyella coal rail system

Relevant markets in Western Australia

Below rail access services

78. The ACCC's preliminary view is that the relevant upstream market is the market for supply of below rail access to Brookfield Rail's network.

Above rail haulage services

79. As outlined above, Brookfield Rail's network is primarily accessed for the transport of:
 - a. freight between WA and Australia's central and eastern states and over longer distances;
 - b. bulk freight (grain and minerals) from inland locations in WA to export terminals in WA.
80. Alternative modes of transport for interstate freight are sea and road. Road is the only alternative mode of transport for the movement of bulk grain or minerals to port in WA.
81. These alternative modes of transport may be viable substitutes for rail transport for some freight tasks. For example, road has the advantage of providing point-

to-point delivery and may be a feasible substitute for bulk grain transport over shorter distances, depending on the location and origin of the task. However:

- a. rail is a significantly cheaper mode of transport than road over longer distances, particularly for east-west freight;
- b. rail is a significantly cheaper mode of transport than road when using high capacity, fast loading sites with road and rail access; and
- c. sea is a significantly slower mode of transport than rail for east-west freight.

82. These factors mean that:

- a. for many freight tasks between the east and west of Australia, there are no feasible substitutes for above rail haulage using Brookfield Rail's network – as outlined above, an estimated 80% of all freight that moves between the east and west of Australia uses Brookfield Rail's network; and
- b. road haulage is likely to provide a limited constraint for bulk haulage tasks within WA.

83. In order to transport freight by rail between the east and west of Australia, it is necessary also to obtain below rail access to the ARTC's rail network between Kalgoorlie and Crystal Brook, and in many cases other components of the ARTC's rail network in South Australia, Victoria, NSW and Queensland. In this respect, below rail access to Brookfield Rail's network is complementary to below rail access to the ARTC's rail network.

84. The ACCC's preliminary view is that the relevant downstream markets are:

- a. the supply of interstate freight haulage services between WA and Australia's central and eastern states;
- b. markets for the supply of intrastate haulage services for bulk freight (grain and minerals) within WA.

85. Within these markets, road transport (and sea transport in the case of interstate haulage) provides a limited constraint, depending on the particular freight task. For example, road transport of grain or minerals may constrain rail transport in situations where the freight task involves relatively short distances or smaller volumes, but not where the freight task involves relatively longer distances and/or high capacity, fast loading sites.

86. The ACCC is therefore seeking further comment on the relevant markets.

Relevant markets in Queensland

87. Market feedback on the proposed acquisition has centred on coal handling services provided by DBCTM (or its appointed operator) at DBCT and on the effect of the proposed acquisition on competition between above rail haulage providers that deliver coal to DBCT.

88. As identified in the industry background section above at paragraph 52, coal is transported from certain mines in the Bowen Basin region to DBCT. Coal producers provided a range of reasons why other coal terminals such as those at

Abbot Point and Gladstone are not close substitutes for DBCT. Some of the reasons included:

- a. The distance from mine to port is a significant factor in selecting a coal export terminal - DBCT is the closest terminal to the mines and rail haulage costs are therefore significantly cheaper;
- b. Capacity constraints at other terminals and on connecting rail networks prevent coal producers from utilising terminals other than DBCT;
- c. The long-term 'take-or-pay' nature of both below rail and port access contracts limit switching between terminals;
- d. Transporting coal to Abbot Point requires coal producers to use the Goonyella to Abbot Point system (which, unlike the Goonyella coal rail system, is a non-electrified rail system and is therefore only suitable for diesel locomotives).

89. In light of the above considerations, the ACCC's preliminary view is that:

- a. the relevant upstream market for assessing the proposed acquisition is the supply of coal handling services at DBCT; and
- b. the relevant downstream market is the supply of above rail haulage services on the Goonyella coal rail system.

The ACCC invites comments from market participants on its preliminary views about the definition of the relevant market(s).

In particular, market participants may wish to comment on the following factors relevant to Brookfield Rail:

- The extent to which sea and road transport are viable substitutes for interstate rail transport on the East-West Corridor and in what circumstances, including any recent trends.
- The extent to which road transport is a viable substitute for rail transport of grain and minerals within WA and in what circumstances, including any recent trends.
- The extent to which above rail operators are able to switch between the provision of bulk rail haulage for grain versus minerals, noting particularly any commercial, contractual or regulatory barriers to switching.

In addition, market participants may wish to comment on the extent to which the supply of coal handling services at Abbot Point and Gladstone are close substitutes for DBCT.

Issue of concern: Vertical integration leading to reduction in competition between above rail operators that use Brookfield Rail

90. The proposed acquisition will result in vertical integration between the long term leaseholder of the Brookfield Rail network and the above rail operator Pacific National that provides rail haulage services on the Brookfield Rail network.
91. Based upon its inquiries to date, the ACCC is concerned that the proposed acquisition is likely to substantially lessen competition by:
 - a. giving Brookfield the ability and incentive to discriminate in favour of Pacific National's above rail haulage services using Brookfield Rail;
 - b. giving Brookfield the ability and incentive to increase costs for competitors of Pacific National in the provision of above rail haulage services using Brookfield Rail;
 - c. giving Brookfield access to competitively sensitive information that it can use to the benefit of Pacific National;
 - d. raising barriers to entry for above rail competitors of Pacific National using Brookfield Rail.
92. This could lead to an increase in prices or reduction in service quality in the relevant markets involving the supply of above rail haulage services on the Brookfield Rail network.

Ability and incentive to foreclose rivals of Pacific National

93. On the basis of the ACCC's preliminary view that the relevant upstream market is the market for the supply of below rail access to Brookfield Rail's network, Brookfield Rail's long-term lease over the network gives it substantial market power in that market.
94. In this capacity, Brookfield Rail is able to discriminate in favour of Pacific National through its access charges and quality of service. This is because it contracts directly with above rail operators to provide below rail access (although Brookfield Rail may contract with end users to provide access, it will still enter into an operational track access agreement with the end user's nominated above rail operator) and is aware of the identity of the above rail operators that it is dealing with in its day-to-day operations.
95. Market participants have provided examples of the ways in which Brookfield Rail might be able to give preferential treatment to Pacific National, including:
 - a. implementing higher access charges for Pacific National's competitors;
 - b. implementing higher access charges to all above rail operators (including Pacific National) but engaging in accounting practices between Brookfield Rail and Pacific National to minimise the actual cost accruing to Pacific National;

- c. requiring higher capital charges⁴ to enable capacity to be provided to Pacific National's competitors;
 - d. allocating a disproportionate amount of premium train paths to Pacific National;
 - e. rejecting (or being less accommodating to) requests for new train paths or variations to existing train paths;
 - f. implementing unfavourable and restrictive load tables;⁵
 - g. reducing track speeds under the guise of maintenance;
 - h. using construction and maintenance timing to strategically impact the services of competitors to Pacific National;
 - i. using operational issues like network constraints to advantage Pacific National trains above competitors' trains; and
 - j. facilitating Pacific National bundling below and above rail service offerings, including charging lower access charges if haulage services are acquired from Pacific National.
96. Brookfield's ability to discriminate against competitors of Pacific National would be weakened if there are available substitutes to the Brookfield rail network for moving bulk and intermodal freight in and out of WA.
97. However, as noted previously, no other relevant railway networks exist in WA, and the competitive constraint to rail haulage from road and sea transport is limited due to high costs and/or slow speeds.
98. It is also implicit that the Brookfield Rail network would not be economically feasible to duplicate, since Brookfield Rail is subject to an access regime for which the Premier of WA sought NCC certification in 2010.
99. For these reasons, the ACCC's preliminary view is that there is a limit to the amount of switching to other modes of transport that would occur in response to an increase in price or decrease in quality of service for below rail access services on Brookfield Rail's network. To the extent that there is switching to sea transport, some market participants have submitted that Brookfield may stand to benefit from additional revenues through Asciano's terminal and port operations, which would reduce the competitive constraint of such switching.
100. As a result, above rail operators using Brookfield Rail similarly face limited constraint from road and sea-based freight transport providers.
101. In this context, the ACCC is concerned that:
- a. if Brookfield were to increase Pacific National's rivals' access costs relative to Pacific National's, Brookfield may receive greater revenue from Pacific

⁴ Capital charges are a component of the access fee paid by users of Brookfield Rail's network that is intended to reflect the cost to Brookfield Rail of establishing and replacing infrastructure over time.

⁵ Load tables set out operational standards in regard to factors including but not limited to axle weight limits and locomotive configurations (e.g. the distance between axles or maximum train height or width) for a given type of load.

National's rivals and, to the extent that this decreases the volumes transported by Pacific National's rivals, Pacific National is likely to receive greater revenue from customers switching from their current above rail provider to Pacific National;

- b. similarly, Brookfield could decrease Pacific National's rivals' quality of service relative to Pacific National, resulting in customer switching to Pacific National and potentially reducing Brookfield Rail's costs; and
 - c. if Brookfield were to increase all above rail providers' access costs, it may be feasible for Pacific National not to pass on this increase to customers, since those costs would effectively be an internal transfer between Brookfield and Pacific National, in which cases customers would be likely to switch from their current above rail provider to Pacific National.
102. For these reasons, Brookfield may have the incentive to increase Pacific National's rivals' access costs or decrease their quality of service, or to increase all above rail providers' access costs.
103. On this basis, the ACCC's preliminary view is that, post-acquisition, Brookfield would have the ability and incentive to foreclose Pacific National's competitors in the provision of above rail services using Brookfield Rail's network.

Access to commercially sensitive information

104. Market participants have indicated that Brookfield Rail is privy to a wide range of commercially sensitive information that, if disclosed to Pacific National, would give it a significant competitive advantage.
105. For example, Brookfield Rail is likely to be privy to:
- a. the routes that are requested by above rail providers, including the specific below rail infrastructure to which access is sought;
 - b. the times for which access is sought, including a start date for the service;
 - c. the nature of the freight being transported;
 - d. the types of locomotives and wagons used on services;
 - e. the technical specifications of locomotives and wagons; and
 - f. on time performance data.
106. Post-acquisition, any or all of this information would give Pacific National an insight into:
- a. the commercial strategies of its competitors;
 - b. the performance of its competitors;
 - c. the costs faced by its competitors; and
 - d. the train structures and technology employed by its competitors.

107. While some of this information is ultimately effectively publicly available based on the actual services run, Brookfield Rail has access to that information well in advance of an above rail operator running trains on its network.
108. As well as Pacific National gaining a competitive advantage by having this information, if its competitors were aware – or perceived – that Pacific National would obtain this information, they would be deterred from competing vigorously with Pacific National to provide above rail services using Brookfield Rail's network.
109. For these reasons, the ACCC is concerned that the proposed acquisition may result in Pacific National having access to commercially sensitive information of its above rail competitors.

Barriers to entry and expansion and the effect on competition

110. The ACCC is concerned that if, post-acquisition, Brookfield has the ability and incentive to foreclose Pacific National's competitors in the provision of above rail services using Brookfield Rail's network and Pacific National has access to commercially sensitive information of its above rail competitors, this would have a material deterrent effect on new entry to the supply of above rail haulage services.
111. The ACCC is therefore concerned that the acquisition would increase barriers to entry to the relevant haulage markets and give Pacific National the ability to increase prices or lower its quality of service to end users.

The WA Access Regime

112. Brookfield Rail's ability to discriminate in favour of Pacific National may be mitigated to some extent by the presence of the WA Access Regime. Similarly, Brookfield Rail's ability to use commercially sensitive information to the competitive advantage of Pacific National may be mitigated by the segregation arrangements that the Railways Access Act requires it to have in place.
113. However, the ACCC notes that the arrangements and the WA Access Regime currently operate in an environment where there is no vertical integration, meaning that it is not required to address competition concerns arising from vertical integration.

Access agreements

114. Under the Code:
- a. Brookfield Rail is obliged to negotiate in good faith with access seekers, once they submit a proposal for access under the Code.
 - b. If agreement cannot be reached, access seekers are able to refer the dispute for binding arbitration.
 - c. If an access seeker submits a proposal under the Code, Brookfield Rail must provide a floor and ceiling price for access charges, including the costing principles by which these prices were calculated.
 - d. The floor price is the approximate marginal cost of providing access to the operator. The ceiling price is the approximate cost of replacing the line with a newly constructed line that meets the expected level of service.

- e. The ERA can review the floor and ceiling prices and either approve them or determine the prices itself.

115. Access agreements negotiated or arbitrated under the Code are subject to:

- a. Train Management Guidelines – A framework for the real-time management of services to be operated on the rail network to ensure that services are operated in a safe, reliable and non-discriminatory manner. The Train Management Guidelines are approved by the ERA.
- b. Train Path Policy – A railway operator’s statement in relation to the allocation of train paths and the provision of access to train paths that have ceased to be used. The Train Path Policy is approved by the ERA.

Protections against discriminatory conduct

116. The ACCC notes that there are provisions of the WA Access Regime that may to some extent moderate the potential for discriminatory conduct.

117. The Code contains a general duty for railway owners, in negotiating access agreements:

- a. not to unfairly discriminate between access seekers; and
- b. not to unfairly discriminate between the rail operations of an access seeker and the rail operations of the railway owner (which includes the rail operations of any related body corporate of the railway owner), including in the allocation of train paths, the management of train control and operating standards.⁶

118. The Code also includes guidelines that the railway owner must implement in the negotiation of access prices.⁷ Those guidelines include being consistent in the application of pricing principles, whether rail operations are to be carried on by the railway owner (or a related body corporate) or another entity. The guidelines explain that this means that if different entities access the same “market”, any difference in their respective access charges must only reflect a difference between them in the costs or risks associated with the provision of the access.

119. The Railways Access Act prohibits Brookfield from engaging in conduct aimed at hindering or preventing access to the Brookfield Rail network.⁸

120. In addition, the WA Access Regime includes many requirements relating to the standard of service to be provided by Brookfield Rail and the Train Management Guidelines and Train Path Policy contain detailed operational requirements for Brookfield Rail.

Segregation arrangements

121. Separately, the Railways Access Act requires that railway owners segregate their access-related functions from their other functions, and in particular that they:

⁶ Section 16.

⁷ Section 13, schedule 4.

⁸ Section 34A.

- a. establish an effective regime to prevent the improper use of confidential information relating to access seekers or rail operators;
- b. ensure that their staff involved in access-related functions do not have a conflict of interest and do not have regard to the interests of the railway owner in a way that is unfair to access seekers or other rail operators;
- c. maintain separate accounts and records for their access-related functions.

122. These obligations may ameliorate concerns that Pacific National may become privy to commercially sensitive information of its competitors.

Adequacy of the access regime

123. Notwithstanding these various requirements in the WA Access Regime, market feedback has strongly indicated that they are inadequate to protect against the competition issues arising from the vertical integration that would result from the proposed acquisition.
124. In particular, strong concerns have been raised that the 'light touch' model of access to Brookfield Rail is not suited to preventing Brookfield from engaging in foreclosure strategies in favour of Pacific National. The WA Access Regime provides a very wide range of permissible access charges and there is a lack of transparency in the access prices that Brookfield Rail charges.
125. Relevant concerns have been raised by market participants in other forums. For example, the ACCC notes the following concerns previously raised by Asciano in submissions to the current ERA review of the Code, the NCC consideration of certification of the WA Access Regime and the recent Competition Policy Review:
 - *As outlined in both Asciano's previous submission and other parties' submissions the 'negotiate and arbitrate' model of access as provided for in the Code is flawed due to the uneven bargaining positions of the natural monopoly rail infrastructure provider and the users and potential users of this infrastructure.⁹*
 - *Given the current Western Australian rail infrastructure ownership structure and operating environment the current separation arrangements are adequate... However, these arrangements are unlikely to be adequate in any future environment where below rail and above rail ownership or operation are more closely aligned.¹⁰*
 - *[In relation to Aurizon Network's below rail infrastructure in Queensland:] It is useful to understand the many and subtle forms of potential discrimination when assessing the appropriateness of regulatory regimes... The ultimate way of preventing this discrimination is to not have vertically integrated monopolists.¹¹*

⁹ Asciano, 'Submission to the ERA Review of the WA Railways Access Code', 12 June 2015.

¹⁰ Asciano, 'Submission to the NCC: Certification of the Western Australian Rail Access Regime: Response to the WA Government Submission to the NCC', June 2010.

¹¹ Asciano, 'Submission to the Competition Policy Review Issues Paper', June 2014.

126. In this context, the ACCC has significant reservations about the adequacy of the WA Access Regime to prevent a substantial lessening of competition arising from the proposed acquisition.
127. In any event, the ACCC reiterates its view that the only way to avoid the risks to competition that are likely to be created by vertical integration is to avoid the creation of a vertically integrated market structure altogether.

Limited use of Code

128. The ACCC also considers it significant that no access agreements have been entered into under the Code. This may mean that access seekers consider that the Code's mechanisms do not offer sufficient benefits to merit their use. However the ACCC acknowledges that the Code would still operate as a "safety net" in negotiations between Brookfield Rail and access seekers, and that to this extent it may serve a useful function.
129. In any event, the consequences of access agreements being negotiated outside of the Code include that the effectiveness of those provision and protections have not been fully tested and that those provisions and protections do not apply to current access agreements in any case.

Potential changes to the WA Access Regime

130. The ERA is required to undertake a review of the Code on the third anniversary of its commencement and every five years thereafter. The Code commenced on 1 September 2001.
131. The purpose of the review is to assess the suitability of the provisions of the Code to give effect to the Competition Principles Agreement in respect of railways to which the Code applies. The Competition Principles Agreement was made on 11 April 1995 by the Commonwealth, the States and the Territories as part of the National Competition Policy, to provide a framework to allow third parties to access nationally significant infrastructure facilities which exhibit natural monopoly characteristics and cannot be duplicated economically.
132. The ERA is currently undertaking its third such review. The review commenced on 20 February 2015, when the ERA published an Issues Paper and invited submissions. The ERA issued a draft report on 23 September 2015. Submissions on the draft report are due on 23 October 2015.
133. One of the draft report's recommendations was that the interstate route from Kalgoorlie to Kwinana (i.e. Brookfield Rail's part of the east-west rail corridor) be removed from the scope of the WA Access Regime.¹² The ACCC notes that if this change is accepted by the WA government, this would leave this part of Brookfield Rail's network open for regulation under the National Access Regime.
134. In addition, Brookfield Rail has proposed revisions to its segregation arrangements. The key proposed amendments are the inclusion of:
 - a. an annual audit procedure
 - b. a dispute resolution process
 - c. more detailed non-discrimination provisions

¹² ERA, Review of the Railways (Access) Code 2000 Draft Report, p. 4.

- d. expanded confidentiality obligations
 - e. provisions addressing conflicts of interest of staff and directors
135. It is implicit in these proposed revisions that the current segregation arrangements could be enhanced to provide more protection against the types of issues identified above.
136. The revisions must be approved by the ERA before taking effect. On 18 September 2015, the ERA invited public comment on the revisions. Submissions on the proposed amendments are due by 30 October 2015.
137. In light of these reviews (and even without these reviews), it is possible that changes will be made to the WA Access Regime that would reduce the risk of the competition issues identified above to some extent. However, the ACCC notes in this regard that:
- a. Those reviews are on-going, meaning that any changes, including their likely impact, are currently uncertain.
 - b. Those reviews may not be complete during the period that the ACCC is considering the proposed acquisition, meaning that their conclusions will be unknown in any case at the time that the ACCC makes a decision.
 - c. There is no certainty that the final recommendations of the ERA from its current review will be implemented. Any changes will need to be implemented by the WA Government. In this regard, the ACCC notes that, according to the February 2015 Issues Paper published by the ERA, the ERA provided the final report from its previous review to the Minister in December 2011 and it has not yet been acted upon.¹³
138. As paragraph 7.70 of the ACCC's *Merger Guidelines* note, while the ACCC takes into account government regulation relevant to its competition assessments, as a general principle the ACCC does not regard speculation about future alterations to the regulatory environment, or the mere ability of government to regulate, as an effective competitive constraint.

ACCC's preliminary views

139. In summary, the ACCC is concerned that the proposed acquisition will result in vertical integration between the below rail operator and one of the above rail operators, which is likely to result in a substantial lessening of competition in the relevant above rail haulage markets.
140. The ACCC considers that relying on an access regime to mitigate the competitive detriments arising from vertical integration between a monopolist and a participant in a related (competitive) market is a second best solution compared to preventing such situations of vertical integration in the first place.

The ACCC invites comments from market participants on its concerns in relation to the vertical integration of Brookfield Rail arising from the proposed acquisition and the potential substantial lessening of competition in related markets for the supply of above rail haulage services using Brookfield Rail's network.

¹³ ERA, 'Review of the Railways (Access) Code 2000: Issues Paper', February 2015, page 15.

In particular market participants may wish to comment on the following:

- To what extent do market participants share the view that the prevention of vertical integration arising from the proposed acquisition is preferable to relying on an access regime to address vertical integration issues arising from the proposed acquisition? Please explain your views.
- Practical examples of how Brookfield Rail could engage in commercial or operational conduct that is to the advantage of Pacific National.
- The effectiveness of the existing access regime and related regulatory arrangements relating to Brookfield Rail in preventing or deterring discriminatory conduct by Brookfield Rail.
- The extent to which the existing access regime and related regulatory arrangements relating to Brookfield Rail have prevented the exercise of market power by Brookfield Rail in the past.

Issue of concern: Vertical integration leading to reduction in competition between above rail operators that haul coal to DBCT for export

141. The proposed acquisition will result in vertical integration between the long term leaseholder of DBCT and the above rail operator Pacific National that provides rail haulage services to DBCT.
142. Based upon its inquiries to date, the ACCC is concerned that the proposed acquisition is likely to substantially lessen competition by:
- a. giving Brookfield the ability and incentive to discriminate in favour of Pacific National's above rail haulage services using DBCT;
 - b. giving Brookfield the ability and incentive to increase costs for competitors of Pacific National in the provision of above rail haulage services using DBCT;
 - c. giving Brookfield access to competitively sensitive information that it can use to the benefit of Pacific National;
 - d. raising barriers to entry for above rail competitors of Pacific National using DBCT.
143. This could lead to an increase in prices or reduction in service quality in the market for the supply of above rail haulage services on the Goonyella coal rail system.

Ability and incentive to foreclose rivals of Pacific National

144. In considering whether Brookfield will have the ability and incentive to foreclose rivals of Pacific National, the ACCC needs to assess whether Brookfield has significant market power in a relevant upstream or downstream market.
145. Consideration of the infrastructure at DBCT by other regulators and governmental authorities is relevant to the ACCC's assessment of market power in the upstream market (the supply of coal handling services at DBCT).
146. As set out above, the coal handling services at DBCT have been declared for third party access.

147. On 11 July 2011, the Commonwealth Minister certified the DBCT Access Regime as an effective access regime and in doing so considered that:
- a. DBCT is a significant infrastructure facility, having regard to its size and importance to Queensland's economy;
 - b. The DBCT Access Regime applies to a port, an asset that exhibits natural monopoly characteristics and is unlikely to be economically feasible to duplicate.
148. The ACCC considers that the coal handling services provided at DBCT are an important input in the coal supply chain. DBCTM's website refers to DBCT as a 'critical component' in the Bowen Basin export coal supply chain.¹⁴
149. During the ACCC's market inquiries, market participants described DBCT as a monopoly asset. Following engagement with market participants, the ACCC considers that the expected competitive constraint from other coal terminals in Central Queensland would be limited (for the reasons identified in the market definition section at paragraph 88 above). End users in the coal supply chain would have a limited ability to export coal from other coal terminals in Central Queensland in response to an exercise of market power by the merged entity.
150. The ACCC therefore considers that Brookfield has a significant degree of market power in the supply of coal handling services at DBCT. This market power would enable Brookfield to foreclose rivals of Pacific National in downstream markets for the supply of above rail haulage services.
151. Market participants identified a number of potential foreclosure strategies that Brookfield could engage in post-acquisition including:
- a. raising access charges to coal producers that use competitors of Pacific National for above rail haulage services to DBCT;
 - b. cost shifting between Pacific National and DBCTM (Brookfield) or engaging in cross-subsidisation;
 - c. discrimination in respect of new access and capacity expansion (for example, in relation to the timing and allocation of capacity within expansions of DBCT);
 - d. providing more favourable operating arrangements (such as stockpiling and unloading pit allocations); and
 - e. the bundling of port and rail capacity.
152. The foreclosure strategies could be implemented in relation to competitors of Pacific National, or end users who contract with competitors of Pacific National.
153. Market participants also stated that vertical integration can lead to many and subtle forms of potential discrimination. The ACCC shares this view that vertical integration can lead to forms of discrimination that may be difficult to detect and that it may be costly to monitor breaches and seek compensation.
154. The ACCC recognises the current operational arrangements that are in place at DBCT, with the terminal being operated by DBCT PL which is independent of

¹⁴ <http://www.dbctm.com.au/aboutdbct.aspx>

Brookfield. DBCTM therefore does not manage the day-to-day operations or maintenance of DBCT. The operational arrangements are set out in the OMC.

155. However, the ACCC also recognises that the operational arrangements in the OMC are contractual in nature. Market participants raised concerns that the operational arrangements could be changed by Brookfield in the future and that there is no regulatory requirement to maintain this contractual arrangement, which was established at privatisation.
156. Despite the existence of the OMC and operational separation, the ACCC is concerned that Brookfield may have some ability to influence operations at DBCT, for example, through the Terminal Regulations, which Brookfield can change or through other forms of influence as the long term leaseholder at DBCT.
157. In this context, the ACCC is concerned that Brookfield may have the incentive to increase access costs or decrease the quality of service to coal producers that do not use Pacific National for their above rail haulage to DBCT, because those coal producers are likely to switch to Pacific National in response, rather than reduce the volumes of coal exported through DBCT.
158. On this basis, the ACCC's preliminary view is that, post-acquisition, Brookfield would have the ability and incentive to foreclose Pacific National's competitors in the provision of above rail services using Brookfield Rail's network.

Access to commercially sensitive information

159. The ACCC is concerned that the proposed acquisition will enable Pacific National to access commercially sensitive information of its rivals and provide Pacific National with a competitive advantage.
160. Such commercially sensitive information could include:
 - a. Information provided to DBCTM under a user agreement or as part of an access application for future or increased capacity;
 - b. The terms of user agreements themselves.
161. Market participants raised concerns that access by Pacific National to this information would have the potential to place its above rail competitors at a disadvantage when competing for new rail haulage contracts, or ad-hoc haulage tasks.
162. The ACCC considers that such access could distort the dynamics of competition in the market for the supply of above rail haulage services on the Goonyella coal rail system.

Barriers to entry and expansion and the effect on competition

163. The ACCC considers that the presence of a vertically integrated entity and the mere likelihood that the merged entity would provide preferential treatment to its related entities in downstream markets may create a strong deterrent effect on potential entrants. This will lead to an increase in barriers to entry and expansion in the market for supply of above rail haulage services on the Goonyella coal rail system.
164. The ACCC is therefore concerned that the foreclosure and increase in barriers to entry will substantially lessen competition in the market for the supply of above rail haulage services on the Goonyella rail system, leading to Pacific National increasing prices or decreasing the quality of services to end users.

The State Access Regime in Queensland

165. As noted above, the ACCC's concerns are based on the change to the market structure that would arise from the vertical integration between Brookfield as the sole supplier of coal handling services at DBCT with Pacific National as a supplier of above rail haulage services to DBCT on the Goonyella coal rail system.
166. The Port Services Agreement (**PSA**) between DBCTM and the State of Queensland contains an obligation that DBCTM maintain an Access Undertaking with the QCA. The PSA contains a range of obligations on DBCTM in its position as the leaseholder of DBCT. However, the PSA is contractual in nature and is subject to change.
167. Brookfield's ability to engage in foreclosure strategies or share commercially sensitive information with Pacific National may be mitigated by the DBCT Access Regime.
168. The DBCT Access Regime contains a number of anti-discrimination provisions.
169. The QCA Act contains obligations on access providers of a declared service not to unfairly differentiate between access seekers. However, there are provisions that allow the access provider to discriminate in certain circumstances.¹⁵
170. The QCA Act also contains pricing principles in relation to the price of access to a service that the price should not allow a related access provider to set terms and conditions that discriminate in favour of the downstream operations of a related body corporate of the access provider.¹⁶
171. The 2010 access undertaking, which sets out the terms and conditions on which third parties may gain access to DBCT's services, includes reference tariffs and a Standard Access Agreement.
172. The 2010 access undertaking requires DBCTM to negotiate with access seekers for access to capacity, sets out the processes and terms and conditions upon which DBCTM will negotiate, and provides for a binding dispute resolution process.¹⁷
173. The Terminal Regulations provide that DBCT will operate on a cargo assembly basis and that vessels must be berthed and loaded in their order of arrival, such that the operator, DBCT PL should not discriminate as between above rail operators or terminal users.¹⁸

Ongoing declared nature of DBCT

174. Part 12 of the QCA Act provides that the handling of coal at DBCT is taken to be a declared service for a period of 10 years from 8 September 2010. The declaration may however be extended or revoked upon the recommendation of the QCA and there is therefore no certainty as to the continuing declared nature of the services at DBCT. There is scope for Brookfield to seek to have the declaration set aside or not renewed.

¹⁵ Section 100 QCA Act

¹⁶ Section 168A QCA Act.

¹⁷ Clause 5, Access Undertaking.

¹⁸ Terminal Regulations, Regulation 2.2.

QCA review of Access Undertaking

175. As noted above, DBCTM has provided a revised access undertaking to the QCA.

176. The timing and outcome for the QCA's review of the revised access undertaking is at this stage uncertain and will not be finalised during the ACCC's review of the proposed acquisition.

Adequacy of the access regime

177. Market participants identified a number of reasons why the state access regime in Queensland may not be sufficient to prevent a substantial lessening of competition arising from vertical integration following the proposed acquisition. These reasons included, but were not limited to:

- a. The uncertainty around whether the services at DBCT will continue to be declared;
- b. The near-term expiry of the current QCA Access Undertaking;
- c. The inherent difficulty in monitoring and enforcing any ring-fencing arrangements; and
- d. The inability of third party access regimes to detect and correct problems relating to day-to-day forms of operational discrimination.

178. As with the first issue of concern, the ACCC considers that relying on an access regime to mitigate the competitive detriments arising from vertical integration between a monopolist and a participant in a related (competitive) market is a second best solution compared to preventing such situations of vertical integration in the first place. Where such competition concerns arise from vertical integration (as is the case with the proposed acquisition), it is preferable to prevent vertical integration arising rather than relying on an access regime.

ACCC's preliminary views

179. In summary, the ACCC is concerned that the proposed acquisition will result in a significant change to the market structure in the relevant markets in Queensland that will permit the merged entity to engage in conduct that will lead to a substantial lessening of competition in the market for the supply of above rail haulage services on the Goonyella coal rail system

The ACCC invites comments from market participants on its concerns in relation to the vertical integration of DBCT arising from the proposed acquisition and the potential substantial lessening of competition in the market for the supply of above rail haulage services on the Goonyella coal rail system.

In particular market participants may wish to comment on the following, and in each instance provide specific practical examples to support any response or concerns identified:

- To what extent do market participants share the view that the prevention of vertical integration arising from the proposed acquisition is preferable to relying on an access regime to address vertical integration issues arising from the proposed acquisition? Please explain your views.
- Where the long term leaseholder of DBCT does not have direct contractual arrangements with above rail operators on the Goonyella coal rail system, please explain how any forms of discrimination or preferential treatment would arise or

how the contractual arrangements would prevent discrimination or preferential treatment.

- With reference to contractual arrangements in place in the Goonyella coal supply chain (for example the long term user agreements that DBCTM has with mining companies) please identify how Brookfield/DBCTM would be able to engage in price discrimination or any other forms of discrimination with users of DBCT who do not use Pacific National as an above rail haulage provider. Are there aspects of the supply chain that would prevent discrimination from arising? If so, please explain.
- Please identify how the presence of DBCT PL as the operator of DBCT addresses concerns about discrimination in the provision of coal handling services. How could DBCTM influence operations even with the continuing role of DBCT PL as operator of DBCT.

ACCC's future steps

180. The ACCC will finalise its view on this matter after it considers submissions invited by this Statement of Issues.
181. As noted above, the ACCC now seeks submissions from market participants on each of the issues identified in this Statement of Issues and on any other issue that may be relevant to the ACCC's assessment of this matter. Submissions are to be received by the ACCC no later than 4 November 2015 and should be emailed to mergers@acc.gov.au.
182. The ACCC intends to publicly announce its final view by 17 December 2015. However the anticipated timeline may change in line with the Merger Review Process Guidelines. A Public Competition Assessment for the purpose of explaining the ACCC's final view may be published following the ACCC's public announcement.